

UNIT -II

PLANNING

Q1. Decision Making – Steps and Process

Decision making is the process of selecting the best choice from the available alternatives.

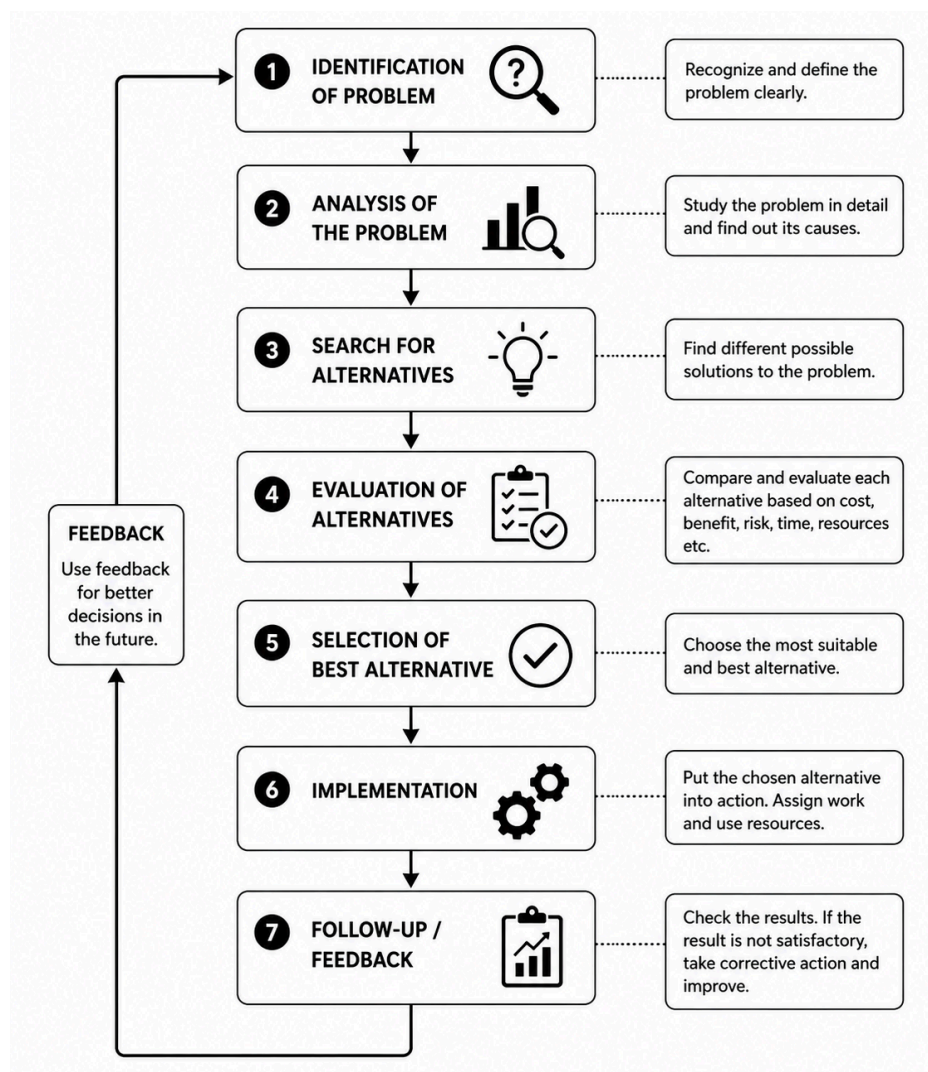
Example

A company wants to increase sales. The manager has three choices:

- Advertise online
- Reduce the price
- Introduce a new product

The manager studies all three choices and selects the best one.

2. Steps in Decision-Making Process



Step 1: Identification of Problem

- First, the manager must **identify the actual problem**.
 - The manager finds the difference between: **What is happening now** ↔ **What should happen**
 - **Example:** Sales should be ₹10 lakh, but actual sales are only ₹7 lakh. Problem = **Low sales**
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Step 2: Diagnosis and Analysis of the Problem

After identifying the problem, the manager studies **why the problem happened**. The manager collects relevant information and analyses the problem correctly.

Example:

- Product price is high
 - Advertising is poor
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Step 3: Search for Alternatives

Now the manager finds **different possible solutions**.

Example:

For increasing sales, alternatives may be:

1. Reduce price
 2. Increase advertising
 3. Give discounts
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Step 4: Evaluation of Alternatives

- The manager compares all the alternatives.
 - Each alternative is checked based on:
Cost, Benefits, Risk, Time, Available resources
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Step 5: Selecting the Best Alternative

- After evaluation, the manager selects the **most suitable alternative**. Choose the best solution.
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Step 6: Implementation

- The selected decision is now **put into action**. The manager assigns work, provides resources and tells employees what to do.
 - **Example:** If the manager selects advertising:
Budget → Advertisement → Employees → Campaign
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Step 7: Follow-up and Feedback

- Finally, the manager checks whether the decision is producing the expected result.
- If the result is not satisfactory, the manager can make changes and take corrective action.

Q2. Planning Tools and Techniques

Planning tools help managers **collect information, predict the future, estimate resources, and schedule activities.**

A. Environmental Scanning

Environmental scanning means **collecting information about changes in the environment.**

Managers study:

- Competitors
 - Market
 - Technology
 - Government
 - Economy
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B. Forecasting

Forecasting means **predicting what may happen in the future.**

Types:

- Short-term forecasting
- Medium-term forecasting
- Long-term forecasting

Example:

A company predicts next year's sales based on previous sales data.

C. Budgeting

A budget shows **how money and resources will be used.**

Example: A company prepares a ₹10 lakh budget for advertising.

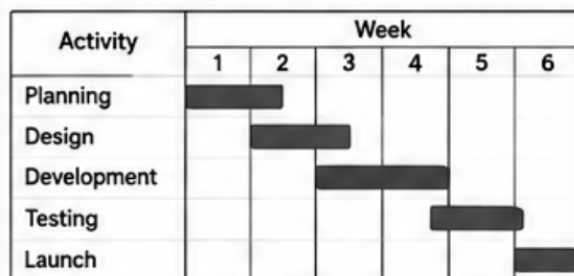
D. Scheduling

Scheduling means deciding **when each activity should be done**.

Example: Preparing a budget for Advertising, Salaries, etc

E. Gantt Chart

A Gantt chart is a simple chart used to show **activities and their planned time**.



F. Load Chart

A load chart helps managers understand **who has how much work**.

Department	Available Capacity (%)	Assigned Load (%)	Balance (%)
Production	100	80	20
Marketing	100	90	10
Finance	100	70	30
HR	100	60	40

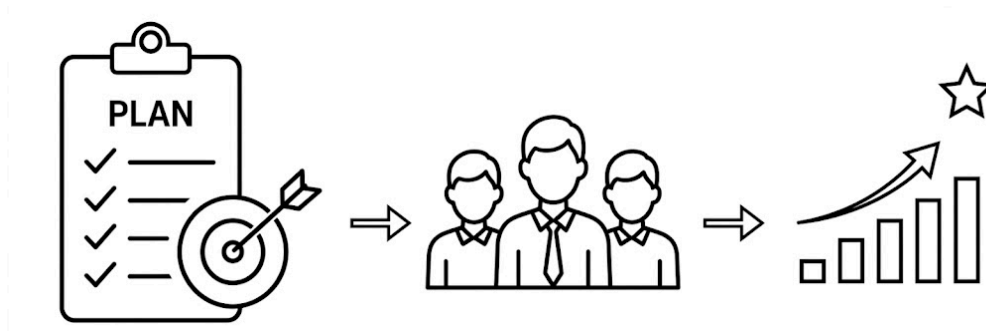
Q3. Planning and Planning Process (Steps)

1. Planning

Planning is deciding in advance:

- What to do
- How to do it
- When to do it
- Who should do it

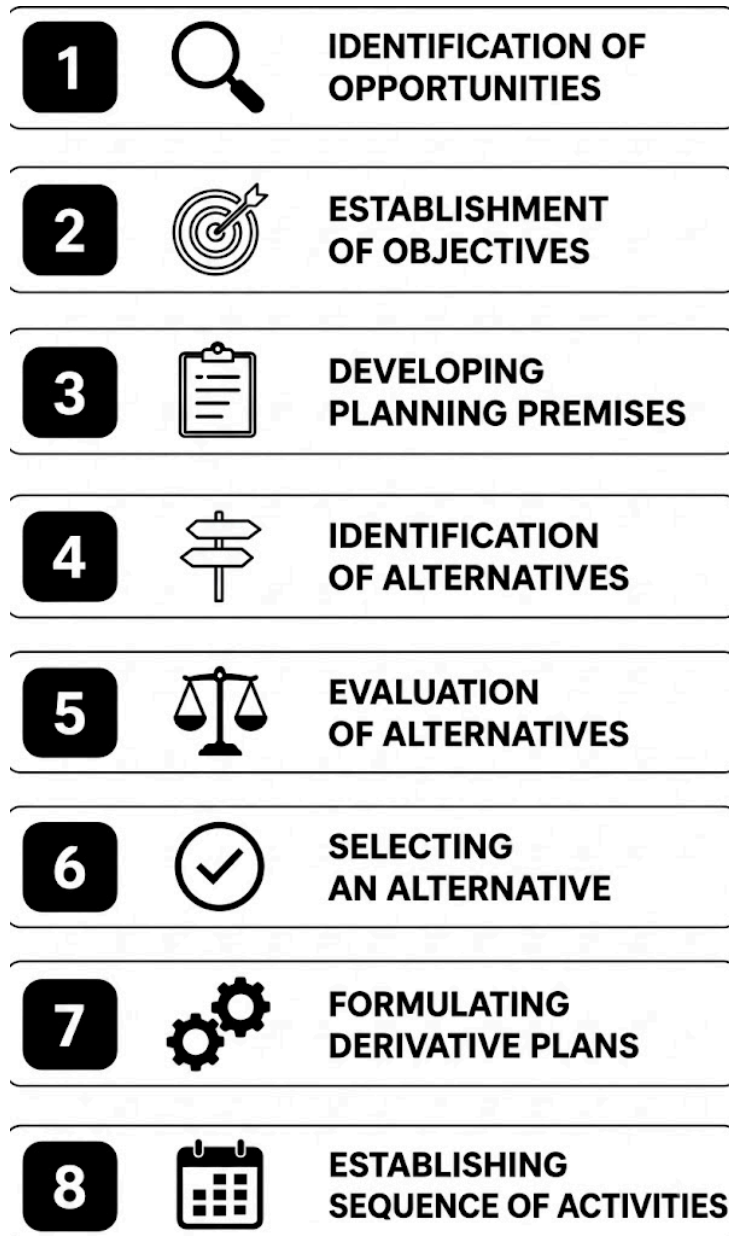
Planning is the **first function of management** and helps the organisation achieve its objectives.



Importance of Planning

- Provides direction
- Reduces uncertainty
- Helps in setting objectives
- Encourages innovation
- Promotes better decision-making
- Ensures proper utilisation of resources
- Sets standards for control
- Improves efficiency
- Minimises risks
- Helps in achieving goals

2. Planning Process – Steps



Step 1: Identification of Opportunities

Identify possible opportunities by studying the **internal and external environment**.

Step 2: Establishment of Objectives

Set **clear and realistic objectives** for the organisation and its different units.

Step 3: Developing Planning Premises

Make assumptions about future conditions such as:

- Economy
- Technology
- Market
- Resources

Step 4: Identification of Alternatives

Find different possible **courses of action** to achieve the objectives.

Step 5: Evaluation of Alternatives

Compare and analyse each alternative based on:

- Cost
- Benefit
- Risk
- Resources
- Time

Step 6: Selecting an Alternative

Choose the **best and most suitable alternative** for achieving the objectives.\

Step 7: Formulating Derivative Plans

Prepare supporting and detailed action plans such as:

- Purchasing
- Staffing
- Budgeting
- Marketing

Step 8: Establishing Sequence of Activities

Decide the **order and timing of activities**.

Fix the starting and finishing time for each activity